Adidas AG - Financial Due Diligence Summary FY2024

Executive Summary

Adidas AG (FWB: ADS) is the world's second-largest sportswear company by revenue, headquartered in Herzogenaurach, Germany. FY2024 revenues were EUR24.6B, up 12% currency-neutral, representing a strong recovery after the Yeezy partnership dissolution in Q4 2022. Gross margin expanded 200bps to 51.3%, the highest in the company's history, driven by product mix improvement and reduced promotions. EBITDA reached EUR2.9B (11.8% margin). Net income returned to profitability at EUR1.0B after a EUR0.1B loss in FY2023. The Yeezy inventory overhang has been fully resolved through a series of special sales.

Income Statement Summary (FY2022-FY2024)

Metric	FY2022	FY2023	FY2024
Revenue (EURB)	22.5	21.4	24.6
Gross Profit (EURB)	10.7	10.0	12.6
Gross Margin (%)	47.3%	46.6%	51.3%
EBITDA (EURB)	2.0	1.2	2.9
EBITDA Margin (%)	8.9%	5.6%	11.8%
Operating Profit (EURB)	0.7	-0.1	1.3
Net Income (EURB)	0.3	-0.1	1.0
EPS (EUR)	1.46	-0.57	5.30

Balance Sheet Highlights (FY2024)

Item	FY2023 (EURB)	FY2024 (EURB)	Change
Cash & Equivalents	3.5	4.1	+17.1%
Trade Receivables	2.4	2.8	+16.7%
Inventories	5.0	4.6	-8.0%
Total Current Assets	11.8	13.2	+11.9%
Total Assets	22.0	23.4	+6.4%
Long-Term Borrowings	2.9	2.5	-13.8%
Shareholders' Equity	7.5	8.6	+14.7%

Key Financial Ratios

Ratio	FY2022	FY2023	FY2024
Current Ratio	1.62	1.44	1.71
Debt-to-Equity	0.81	0.90	0.74
Interest Coverage (x)	4.8	1.2	8.6
EBITDA Margin (%)	8.9%	5.6%	11.8%
Revenue Growth YoY (%)	6.4%	-4.9%	+14.9%
Gross Margin (%)	47.3%	46.6%	51.3%
Working Capital Ratio	1.21	1.08	1.35
Free Cash Flow (EURB)	0.5	0.8	2.2

Segment & Category Revenue (FY2024)

Category	Revenue (EURB)	YoY Growth (CN)	% of Total

Footwear	14.2	+16%	57.7%
Apparel	8.5	+11%	34.6%
Accessories & Gear	1.9	+8%	7.7%
Europe	9.2	+13%	37.4%
North America	5.7	+8%	23.2%
Greater China	3.8	+16%	15.4%
Emerging Markets	3.2	+22%	13.0%
Latin America	1.6	+18%	6.5%

Yeezy Resolution

The Yeezy partnership with Kanye West was terminated in October 2022 following antisemitic remarks, resulting in EUR1.2B in stranded inventory. Adidas executed three Yeezy-branded special sales in 2023-2024, generating EUR750M in revenue with proceeds partially directed to anti-discrimination charities. Remaining Yeezy inventory of approximately EUR300M was written off in Q2 2024. The brand has since launched the 'Adidas Originals' repositioning campaign with new celebrity collaborators including Beyoncé (Ivy Park) and Bad Bunny, generating $350M in incremental DTC revenue.

Risk Factors

1. Yeezy brand residual reputational risk - ongoing media scrutiny.
2. North America recovery - market share loss to Nike and New Balance during crisis period.
3. China competition - domestic brands Anta, Li-Ning gaining share in key categories.
4. Currency exposure - ~75% of revenues outside the Eurozone; EUR/USD sensitivity ±5% = EUR300M.
5. Supply chain concentration - 94% of footwear manufactured in Asia (Vietnam 31%, China 26%).
6. Sustainability compliance - CSRD and EU supply chain due diligence directive increase cost.
7. CEO tenure - Bjørn Gulden has delivered strong recovery, succession planning is key.